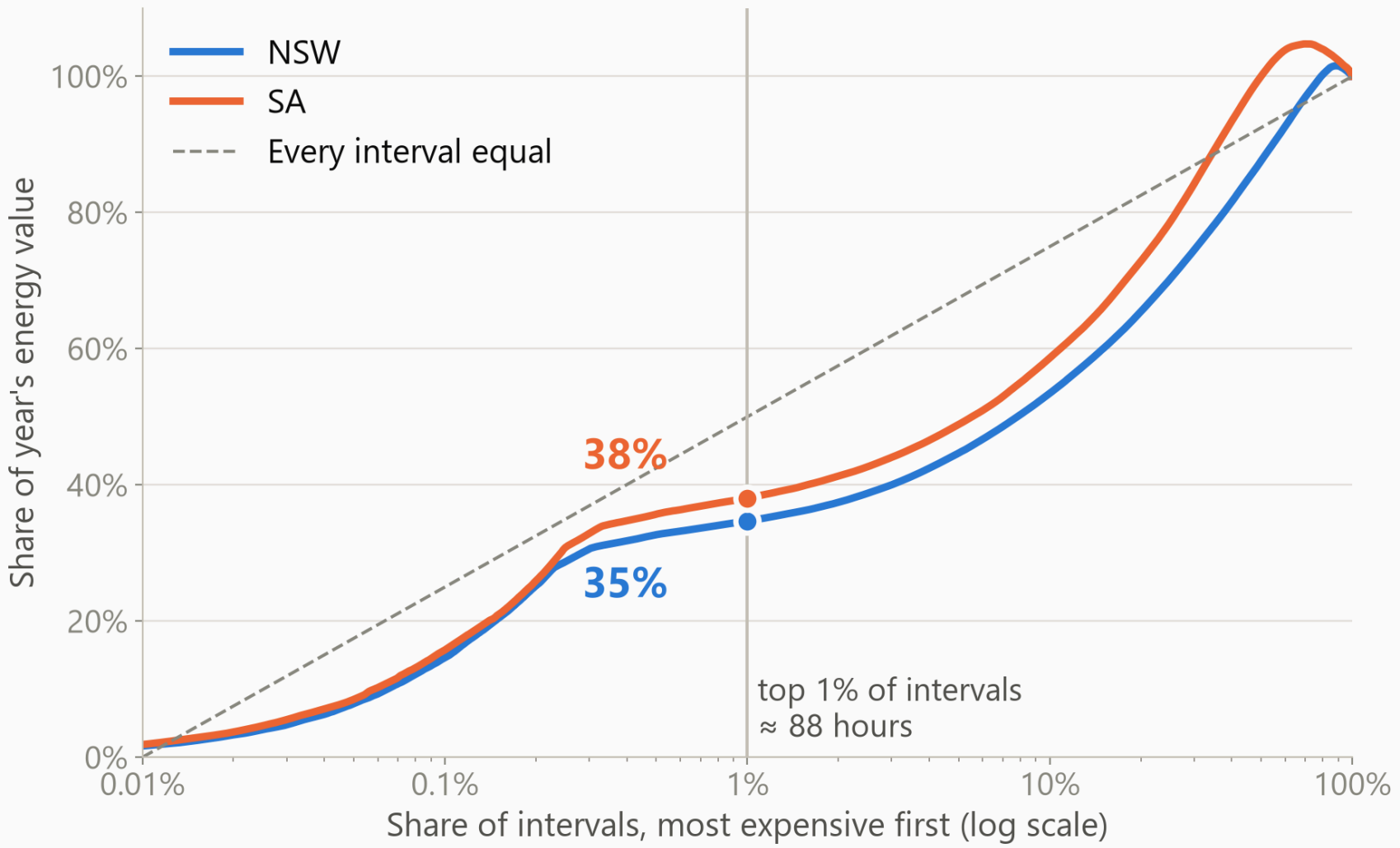
NEM PRICE ANATOMY

About a third of a year's electricity value came from about 88 hours.

Five years of public AEMO 5-minute prices for NSW and SA, Oct 2021 – Sep 2026. Where the value sits, and what drives it.



Swipe →

1 · VALUE IS CONCENTRATED

The most expensive 1% of intervals carried about a third of the year's value.

35%

NSW FY25 energy value
in the top 1% of intervals

38%

SA FY25 energy value
in the top 1% of intervals

32%

of NSW's FY25 energy cost
paid back by a $300 cap

35%

of SA's FY25 energy cost
paid back by a $300 cap

It depends on a handful of events. In FY26 NSW was calm: its top 1% carried just 13%. SA still had 25% of its FY26 value in about **9 hours**.

Value = price × operational demand × 5 min. Top 1% ≈ 88 hours a year.

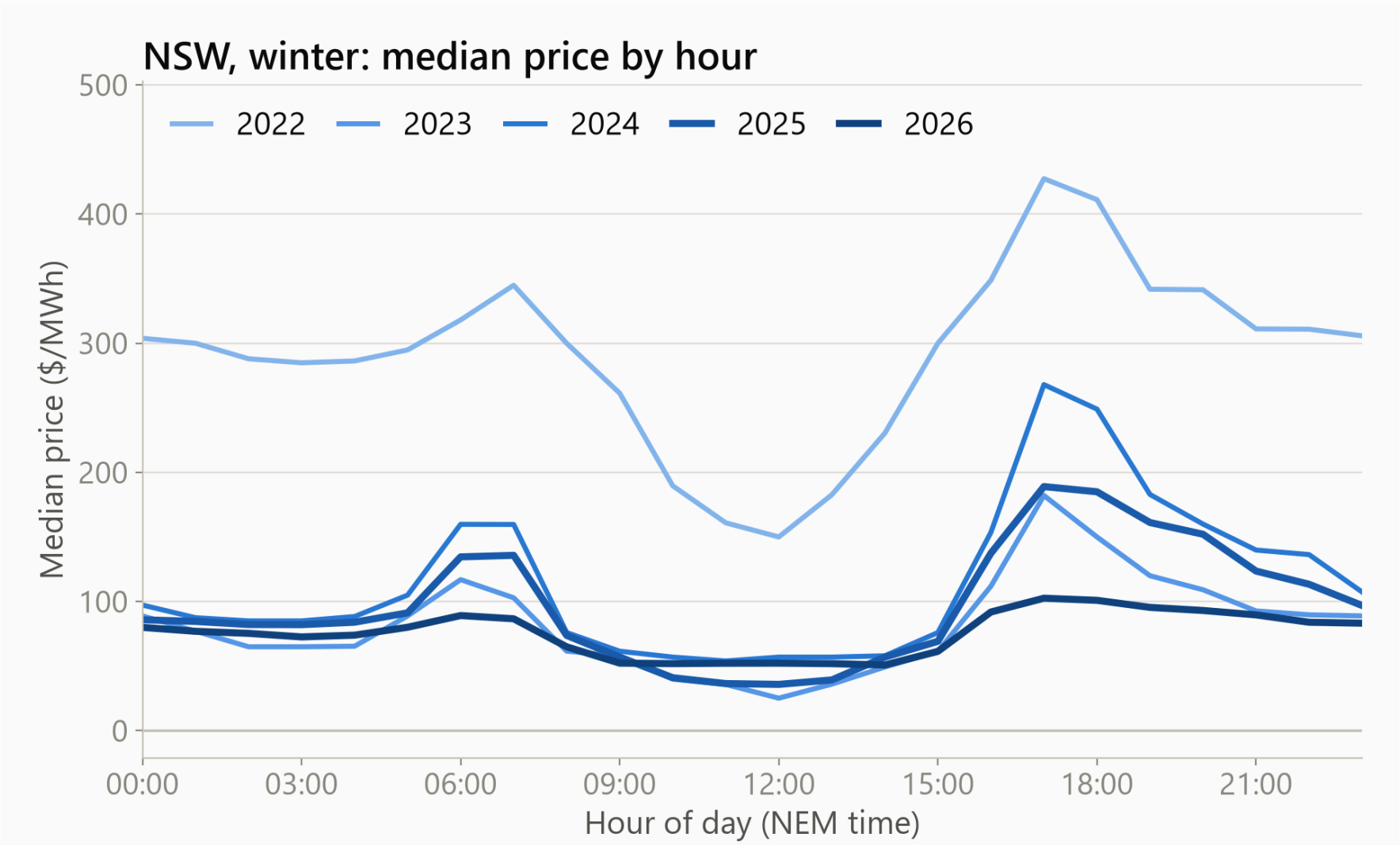
The evening premium roughly halved in winter 2026.

$131 → $46

NSW winter evening minus midday

$147 → $58

SA winter evening minus midday

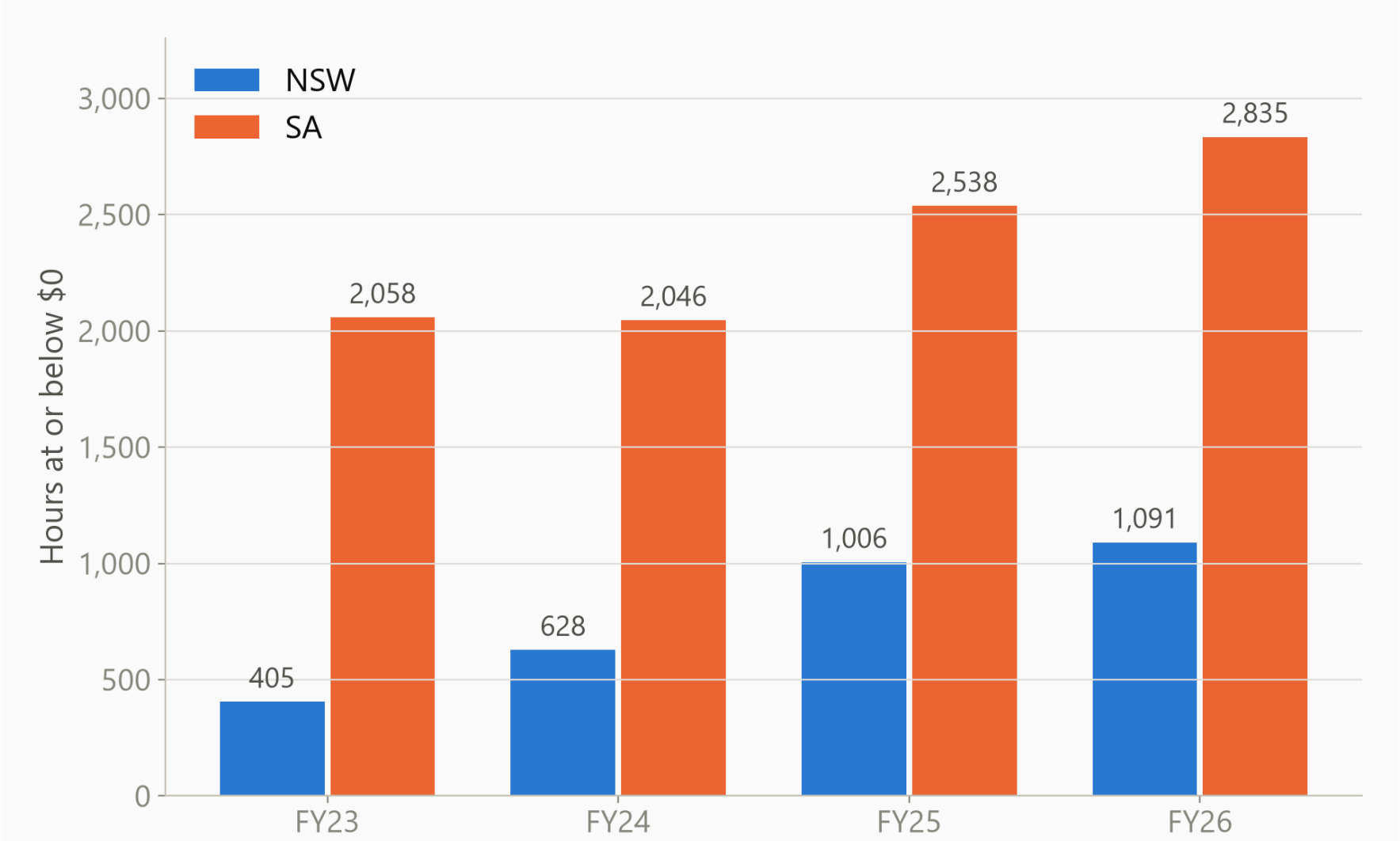


Batteries charge at midday and discharge in the evening, lifting the trough and capping the peak. Battery discharge set the price in **46%** of NEM evening-peak intervals in Q2 2026.

Median $/MWh, 17:00–20:55 minus 10:00–14:55, winter 2025 → 2026. Battery stat: AEMO QED Q2 2026.

3 · NEGATIVE PRICES

Prices go negative more often, but less deeply.



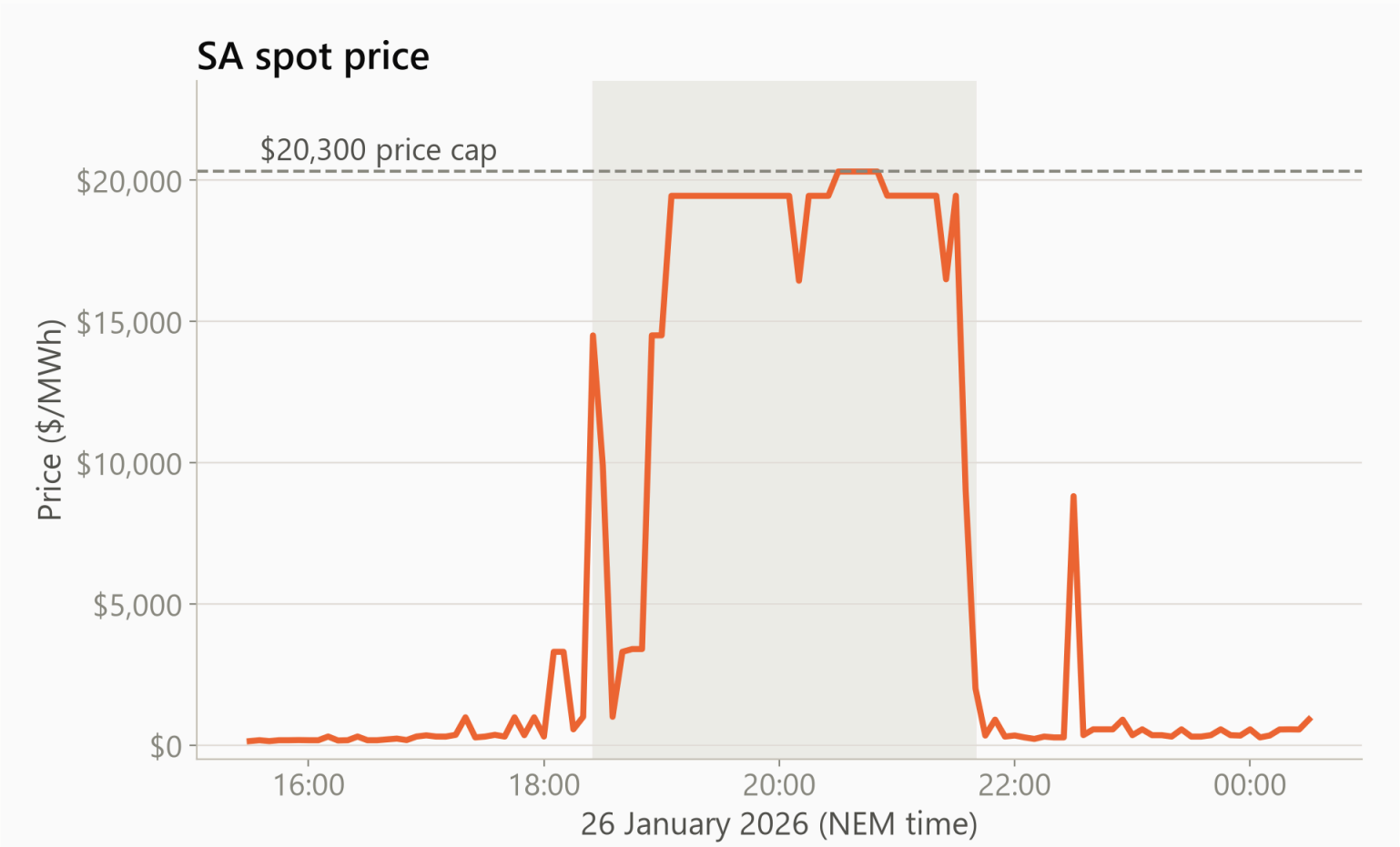
Hours at or below $0 more than doubled in **NSW** and rose by over a third in **SA** (FY23 → FY26). Meanwhile the median negative price rose to about **−$11**, from −$34 (NSW) and −$47 (SA). Midday is now a charging window, not a deep discount.

Complete financial years only (Jul–Jun).

4 · SPIKE ANATOMY

Spikes are about the network, not just the weather.

Every single-region spike studied had a binding import constraint behind it. **SA, 26 January 2026:**



- Spare capacity fell from about 1,000 MW to **47 MW** as solar faded on a hot evening
- Heywood interconnector held to a **600 MW test limit**; Murraylink held at **zero**
- Price reached the **$20,300/MWh** market price cap

Binding constraints from AEMO DISPATCHCONSTRAINT. Shaded: spike event.

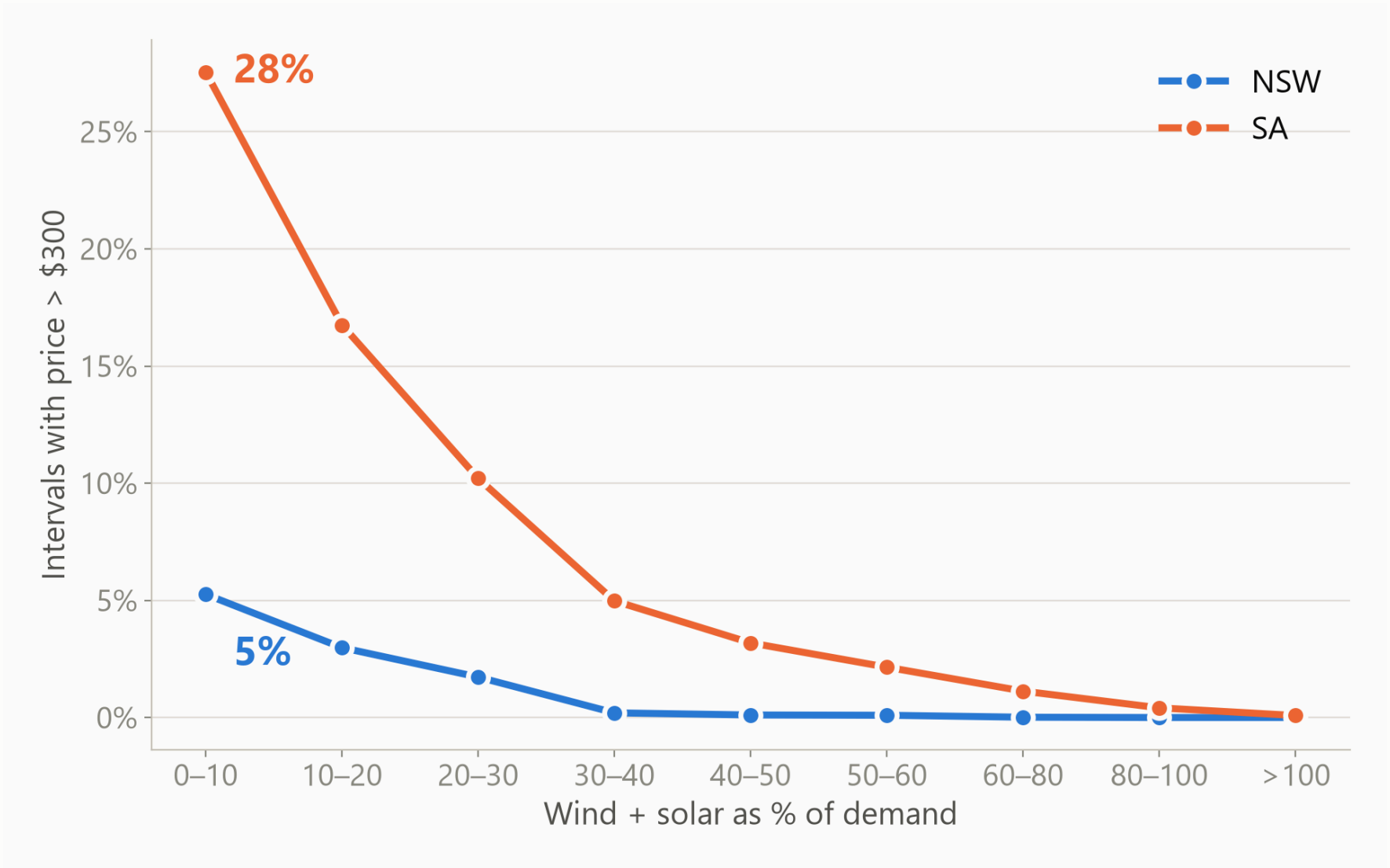
SA's volatility comes from its wind and solar share.

~70%

SA wind + solar share of demand

~25%

NSW wind + solar share of demand



When wind and solar drop below 10% of demand, SA's price exceeds $300 in **28%** of intervals, against 5% for NSW. SA is small, leans on imports, and has no coal to fall back on.

Shares are FY26; chart is FY23–FY26. Wind + solar = semi-scheduled dispatch; rooftop solar shows up as lower demand.

WHAT IT MEANS FOR A TRADER

1. **Caps are valuable because value is concentrated.**
   A handful of events each year decide what a $300 cap is worth.

2. **Price the network, not just the weather.**
   Outage and constraint notices matter as much as the forecast.

3. **Battery value is shifting.**
   As the daily spread compresses, more of it depends on being charged going into rare scarcity events.

Full research note, code and notebooks

github.com/AnirudhGupta004/nem-price-anatomy

Built entirely on public AEMO data
